THE MASTERMIND COACHING CLASSES

Revision Notes

Class 10 · Social Science

Economics (Ch 22) · CBSE / RBSE Syllabus

HOW TO USE THESE NOTES

Each chapter follows the textbook's own order of sections, so you can read straight through. Bold words are keywords you must be able to define. Tables compare and classify; shaded boxes hold definitions, formulas and key facts. The navy Key Takeaways box at the end of every chapter is your last-two-minutes revision.

CH.	CHAPTER TITLE	CORE THEME
22	Sectors of the Indian Economy	Primary, secondary and tertiary sectors, GDP, employment, organised and unorganised work, public and private ownership

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CHAPTER 22 · ECONOMICS · CH 2

Sectors of the Indian Economy

An economy is made of many kinds of activity. Farmers grow crops, factories make goods, and drivers, bankers, teachers and doctors provide services. This chapter groups these activities into three sectors, compares how much each produces and how many people each employs, shows why so many Indians remain under-employed in farming, and then looks at the economy in two other ways: organised and unorganised work, and public and private ownership.

Big Questions

- What are the primary, secondary and tertiary sectors?
- How do the sectors compare in production and in employment?
- What is under-employment and how can more jobs be created?
- How do organised and unorganised work differ?
- What do the public and private sectors do?

Sectors of Economic Activity

Economic activities are the things people do to produce goods or provide services that earn a living. They can be grouped by the kind of work involved.

Sector	Meaning	Examples
Primary (agriculture and related)	Goods are obtained by directly using **natural resources**, with little or no processing	Farming, dairy, fishing, forestry, mining
Secondary (industrial)	Natural products are **changed into other forms** by manufacturing, on a small or large scale	Making cloth from cotton, sugar from sugarcane, steel, bricks, bread
Tertiary (service)	Activities that **help** the primary and secondary sectors to develop and also give services in their own right; they produce services, not goods	Transport, storage, communication, banking, trade, insurance, teaching, medical care, IT services

- The sectors are **interdependent**. Cotton grown on a farm (primary) is spun and woven in a mill (secondary), then carried and sold by traders (tertiary).
- The tertiary sector is sometimes called the service sector. Its output is an intangible service rather than something we can hold.
- A factory-made good such as a tractor is used in farming, and the farmer's income is used to buy goods and services: each sector depends on the others.

Comparing the Three Sectors

DEFINITION

Gross Domestic Product (GDP) is the **value of all final goods and services produced within a country during a particular year**. It shows how big the economy is. In India the **Central Government ministry** concerned collects data and estimates GDP.

- Only **final goods and services** are counted. **Intermediate goods** (such as wheat flour used to make biscuits) are used up in making other goods and are left out, because their value is already included in the final product. Counting them again would be **double counting**.
- Adding up the value of the final goods and services of all three sectors gives the GDP; the share of each sector shows its **contribution**.
- **Historical pattern:** in most countries the **primary** sector was the largest producer at first. With new methods of farming and the spread of factories, the **secondary** sector grew in importance. In the last several decades the **tertiary** sector has become the largest producer in many countries.
- **In India** the total production of all three sectors has increased greatly since independence, but the **tertiary sector has grown fastest** and has now become the largest producing sector, replacing the primary sector.

▸ Why has the tertiary sector grown so much?

1. **Basic services** such as hospitals, schools, post and telecom, police stations, courts, administration, transport, banks and insurance are needed by any country; a developing country needs to build them.
2. **Development of agriculture and industry** raises the demand for transport, trade and storage.
3. **Rising incomes** make people ask for more services such as eating out, tourism, shopping, private schools and hospitals, and professional training.
4. **New services based on information and communication technology** (ATMs, call centres, software, internet services) have become very important and are growing fast.

> **IMPORTANT**
> Not all services are growing equally. Some, such as software and finance, employ skilled workers on high pay, while many others, such as small shops, repair work and informal transport, employ a very large number of people on low pay and with little security.

Where Are Most People Employed?

- In India the **share of GDP** has shifted towards the tertiary sector, but the **share of employment** has not shifted in the same way. **Agriculture still employs about half of all workers**, although its share in GDP is much smaller. In simple terms, too many people depend on a sector that produces a small part of national income.
- This leads to **under-employment** (disguised unemployment): people appear to be employed but are not fully used. **Example:** a family of five works on two hectares of land; all five seem busy, yet two of them could leave and the family's output would not fall. Their labour adds nothing to production.
- **Seasonal unemployment** also occurs, since farm work is mostly available only in sowing, weeding and harvesting seasons.
- Many farmers are small and have no extra source of income, so these workers find it hard to leave farming unless other jobs are created.

▸ How can more jobs be created?

- **In agriculture:** build **irrigation**, such as wells and canals, so that farmers can grow a second crop; give **cheap credit**, better seeds and storage; develop **cold storage and warehouses**, and food processing. This uses family labour better and creates work.
- **Outside agriculture:** set up **small-scale industries** and **services** in semi-rural areas, and promote **tourism, education, IT and health** where large numbers of jobs can be created.
- **Government programmes:** the **Mahatma Gandhi National Rural Employment Guarantee Act, 2005 (MGNREGA)** gives every rural household a **legal right to work: 100 days of guaranteed wage**

employment in a year. If the government cannot provide work it must pay an **unemployment allowance**. The work done should create **useful, lasting assets** such as roads, canals, ponds and wells.

Organised and Unorganised Sectors

	Organised sector	Unorganised sector
Control	**Registered** with the government and follows its rules and regulations, such as the **Factories Act**, the **Minimum Wages Act**, the **Payment of Gratuity Act** and the **Shops and Establishments Act**	Small and scattered units, largely **outside government control**; rules exist on paper but are **not followed**
Jobs	**Regular** terms of employment; **assured work**	Jobs are **low-paid and irregular**; not secure; a worker can be asked to leave without a reason
Benefits	Paid leave, holidays, **provident fund, gratuity**, pension, medical benefits; fixed working hours and **overtime** pay; workers may form unions	**No** paid leave, holidays or sick leave; no regular overtime pay; employment may depend on the season
Examples	Government offices and big companies	Casual labourers in construction, agricultural labourers, small shopkeepers, street vendors, small farmers

- A **large majority of Indian workers** work in the unorganised sector. Many organised-sector jobs have also become casual by hiring workers on a temporary or contract basis.
- **Protection is needed in the unorganised sector.** Farmers need timely **seeds, credit, marketing outlets** and fair prices; small units need **raw materials, finance and markets**; casual workers need protection from underpayment and unsafe conditions.
- Workers belonging to the **Scheduled Castes, Scheduled Tribes and backward communities** are in large numbers in the unorganised sector and also face social discrimination, so protection for them is especially important.
- **Reducing the unorganised sector** and bringing work under government rules, with better wages and benefits, is an important aim.

Sectors by Ownership: Public and Private

	Public sector	Private sector
Ownership	**Government** owns most of the assets and provides the services	Ownership of assets and delivery of services is in the hands of **private individuals or companies**
Examples	**Indian Railways**, the post office, government hospitals and schools	TISCO (Tata Steel), Reliance Industries, a local shopkeeper
Aim	**Public welfare**; services are provided at low or no cost	**Profit**; activities are carried on to earn a profit, and services are sold at a price

- **Why we need a public sector:** the government raises money through **taxes** and spends it on **common facilities** such as roads, bridges, railways, ports, power and **irrigation dams**. Many of these need large sums that private firms may not invest, and they cannot easily charge each user.

- The government also supports **farmers** by buying wheat and rice at a **minimum support price** and keeps stocks to supply **ration shops**.
- It must give **health and education** and ensure **food and safe water** to poor people who cannot buy them at market prices, as well as to **backward regions**.
- Private firms tend to go where profits are high, so the government steps in where a service is needed but not profitable.

Quick Revision: Likely Exam Questions

Likely question	Model answer
Name the three sectors of economic activity.	Primary (agriculture and related), secondary (industrial) and tertiary (service).
What is GDP?	The value of all final goods and services produced within a country in a particular year.
Why are intermediate goods not counted in GDP?	Their value is already included in the final goods; counting them would be double counting.
Why has the tertiary sector grown in India?	Basic services are needed, agriculture and industry need transport and trade, incomes rise, and IT-based services have emerged.
What is under-employment?	A situation in which people seem employed but could be withdrawn from the work without reducing output.
What does MGNREGA, 2005 guarantee?	100 days of wage employment a year to every rural household that asks for it, with an allowance if work is not given.
Differentiate organised and unorganised sectors.	Organised work is registered and rule-bound with job security and benefits; unorganised work is scattered, irregular, low-paid and has no security.
What is the public sector?	The sector in which the government owns most assets and provides services, such as Indian Railways.

★ KEY TAKEAWAYS

- Economic activities form the **primary, secondary and tertiary** sectors, and the three depend on each other.
- **GDP** counts only the value of **final** goods and services; counting intermediate goods would be double counting.
- In India the **tertiary sector** is the largest producer, but **agriculture** still employs about half of the workers, causing **under-employment**.
- More jobs can come from **irrigation, small industry, services** and the **MGNREGA, 2005** (100 days of work).
- The **unorganised sector** has low and uncertain pay with no benefits and needs protection.
- The **public sector** provides common facilities and welfare, while the **private sector** works for profit.